

MACROECONOMICS

Disinflation's Second Mile: Structural Drivers of Sticky Services Inflation

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ABSTRACT

Goods disinflation since 2022 has not been matched by an equivalent decline in services inflation. This paper investigates the structural drivers behind that divergence, focusing on shelter measurement lags, wage dynamics in labor-intensive services, and the low interest-rate sensitivity of administered prices such as insurance and healthcare.

KEY FINDINGS

- 01 Shelter and owners' equivalent rent continue to lag spot-market rent series by three to five quarters, mechanically holding measured services inflation above target for longer than spot conditions warrant.
- 02 Wage growth in labor-intensive services has decoupled from headline CPI, tracking sector-specific labor tightness rather than aggregate economic slack.
- 03 Administered and regulated prices, including insurance and healthcare, show low sensitivity to monetary tightening, which dampens the overall transmission of policy to the price level.
- 04 The 'last mile' of disinflation is structurally distinct from the first: it depends on labor-market softening rather than goods-supply chain normalization.
- 05 Central banks anchored primarily to headline CPI risk misjudging the appropriate policy stance if they underweight this compositional shift toward stickier categories.

DISCUSSION

The paper decomposes core services CPI into shelter and non-shelter components and models each against a distinct set of drivers: shelter against a spot-rent leading indicator, and non-shelter services against sector-level wage growth and vacancy data.

The resulting framework is used to project the path of services inflation under several labor-market scenarios, and to identify which sub-components are likely to remain sticky even as headline inflation approaches target.

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